

LEVEL 5

Apply Entrepreneurial Skills

November/December 2025

SECTION A (40 MARKS)

Answer all questions in this section.

1. Small business traders normally face some challenges in starting and running their businesses. List FOUR challenges that are likely to be faced by small-scale enterprises. (4 Marks)
2. Feneza is a graduate from Mamboleo Training Institute, and she wishes to start and operate a business in his rural area. State FOUR resources for a business idea. (4 Marks)
3. Self-employment has been an alternative form of employment for most of the TVET graduates. State FOUR importance of self-employment. (4 Marks)
4. Entrepreneurship is usually considered as steering a country's economy. Name FOUR factors that inhibit entrepreneurial development in Kenya. (4 Marks)
5. An entrepreneur is a person who is able to scan the immediate environment, generate ideas, gather resources and take action on an identified opportunity with the aim of making a profit. State FOUR types of entrepreneurs. (4 Marks)
6. Upcoming business people get information about viable business activities from different sources. List four sources of business ideas. (4 Marks)
7. Entrepreneurship is a unit taught in all TVET institutions in Kenya. The main aim of this is to equip trainees with the skills and knowledge on how to sustain themselves and create job opportunities. List FOUR ways of becoming an entrepreneur. (4 Marks)
8. A business plan is a written document that describes goals and objectives of a business and clearly lists the steps that will be taken to achieve them. State FOUR uses of a business plan. (4 Marks)
9. Ineffective communication in an organization may lead to high turnover and low production rates. State FOUR barriers to effective communication. (4 Marks)
10. Innovation is a tool that a business can use to enhance its competitiveness. State FOUR types of business innovation strategies. (4 Marks)

SECTION B (60 MARKS)

Answer Question 11 and any other TWO questions in this section.

11. Kimakwa started a business after graduating from Kilimambogo University, and the business was very successful compared to other related businesses around. At some point, he had a challenge in maintaining his customer pace and was approached by his course lecturer, who advised him to take advantage of government support services to sustain and expand his business.

a. Explain FIVE characteristics that would have made Kimakwa a successful entrepreneur.

(10Marks)

b. Explain FIVE ways that the government would have supported Kimakwa's business.

(10 Marks)

12.

a. A business plan conveys a clear and concise picture of the proposed venture, and it provides an overview of the whole document to be used as a guide to an entrepreneur who is venturing into a new business. Explain FIVE standard components of a business plan.

(10 Marks)

b. You have been invited by company XYZ to participate in preparing a strategic plan on legal aspects affecting a business. Discuss FOUR legal issues affecting a business that you would include in the plan.

(10 Marks)

13. Business life cycle refers to the phases that a business passes through from the time the idea is formed in the entrepreneur's mind to the time business rolls and expands or even declines.

a. Explain SIX main stages that a business undergoes

(12 Marks)

b. Demand is the ability and willingness of individuals to buy goods or services available in a given market over a given period of time. Explain FOUR tools that an entrepreneur may use to determine the level of demand for a given product in a market.

(8 Marks) 14.

a. The Government of Kenya encourages its citizens to embrace entrepreneurial activities due to its contributions towards national development. Describe FIVE contributions of entrepreneurship towards the economy of a country.

(10 Marks)

b. Creative and innovative entrepreneurs are individuals who blend creativity and innovation in business operations so as to develop new products, services and experiences. Describe FIVE characteristics of creative and innovative entrepreneurs.

(10 Marks)